

# Polaris

A volatility-normalised momentum read – identifies assets whose drift is strong relative to their own noise floor.

Polaris is a proprietary market-neutral measure designed to identify short-term, normalised momentum effects across crypto assets.

Its universe consists of the most liquid and actively traded assets, identified on a rolling basis – various techniques are employed to keep it both stable and relevant, as well as survivorship-bias free.

To balance each asset's risk contribution, positions are scaled according to the inverse of their rolling volatility.

The portfolio is rebalanced daily, with hourly updates provided, 5 minutes past the hour (UTC).

## EXAMPLE TOP 40 CROSS-SECTIONAL PORTFOLIO

Top 40 market-cap universe • 200% gross exposure (100% long / 100% short). Long and short the dynamic, point-in-time universe, sized by the factor's cross-sectional strength; rebalanced daily.

[Download Returns \(CSV\)](#) →

### PERFORMANCE

Report Period Start Date Jan 2020 • End Date Jul 2026

#### Cumulative Returns

| MTD   | Last Month | 1M   | 3M    | YTD   |
|-------|------------|------|-------|-------|
| –3.5% | 8.6%       | 2.7% | 33.4% | 24.5% |

#### Annualised Returns (CAGR)

| 1Y    | 3Y    | 5Y    | SI    |
|-------|-------|-------|-------|
| 71.8% | 77.8% | 52.3% | 75.8% |

### RISK PROFILE

#### Realised Volatility (annualised)

| 1M    | 3M    | 1Y    | 3Y    | 5Y    | SI    |
|-------|-------|-------|-------|-------|-------|
| 19.9% | 23.2% | 28.0% | 30.3% | 29.5% | 34.1% |

#### Max Drawdown

| %      | Date       |
|--------|------------|
| –31.2% | 2023-04-21 |

### CUMULATIVE RETURN



Note – Performance is for an illustrative single-factor portfolio (positions sized proportionally to the factor signal across the Top 40 universe, rebalanced daily); demonstrative only, not a tradable product. Past performance is not indicative of future results.

# Factor Analysis

[Download Factor Data \(CSV\)](#) →

Diagnostics on the raw factor values, independent of portfolio construction: the quantile and IC plots show whether the signal cross-sectionally separates out- from under-performers, and how consistently. Computed point-in-time on the rolling Top 40 universe (the live factor spans many more tokens – see the raw factor-data CSV in the data room).

Quantile means unavailable: loop of ufunc does not support argument 0 of type int which has no callable sqrt method

Cumulative quantile unavailable: loop of ufunc does not support argument 0 of type int which has no callable sqrt method

IC unavailable: 'float' object has no attribute 'shape'

## ABOUT UNRAVEL

Unravel publishes a catalog of cross-sectional, market-neutral crypto factors – each with point-in-time history and live signals – designed to be combined into multi-factor portfolios that diversify away single-factor risk. Full catalog, methodology and API at [unravel.finance](https://unravel.finance); see the materials below.

[View this factor on unravel.finance](#) →

[Replication notebook – backtest in AlphaLens](#) →

Have further questions? [Book a call with our team – unravel.finance/booking](#)

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